

International AI Experience in Government and Tax Administrations



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Artificial intelligence and the path to digital tax administrati

What's happening now.....

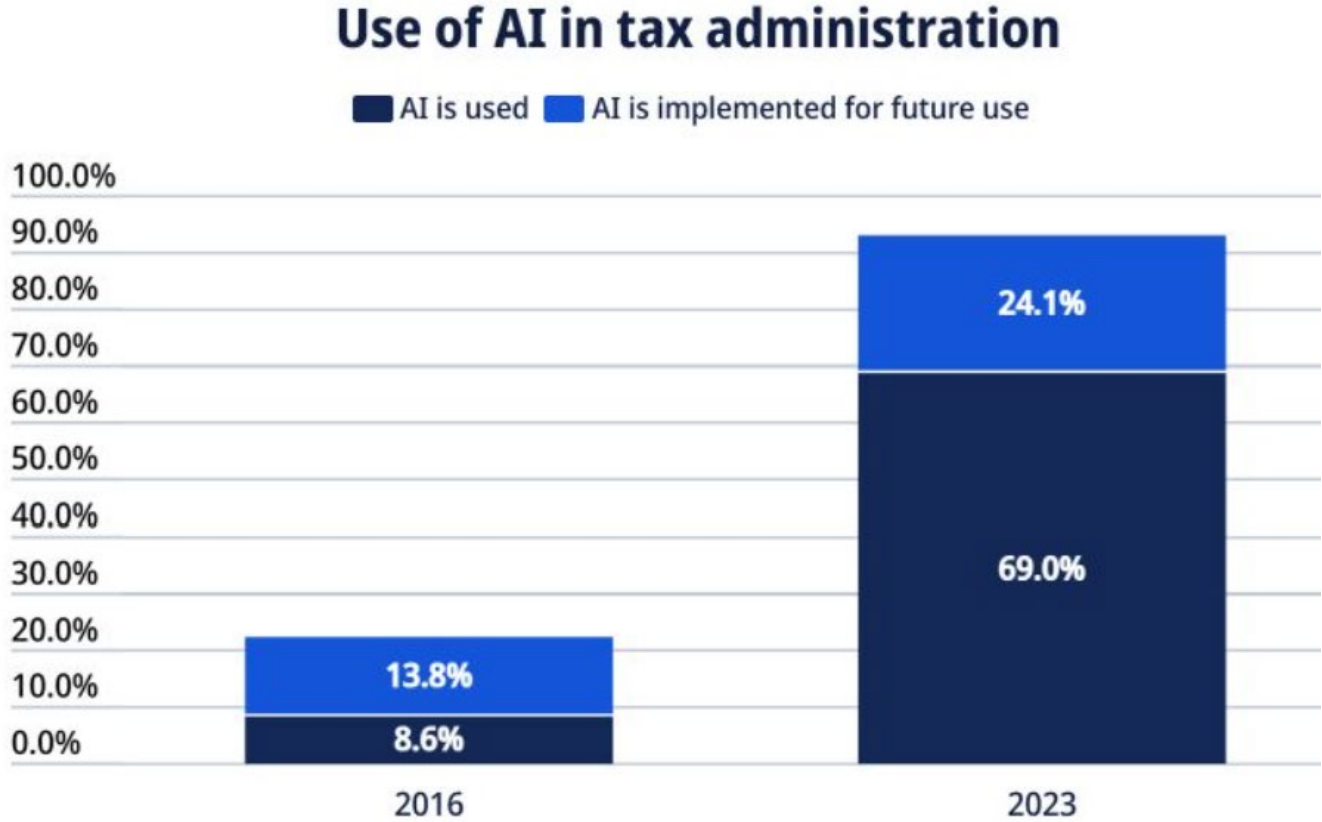


AI can help governments
in three key opportunity
areas

Understanding the use of AI in government

AI tasks	Government activity	Opportunity area
- Recognition - Event detection - Forecasting - Personalisation - Interaction support - Goal-driven optimisation - Content generation - Reasoning with knowledge structures	Internal operations	Productivity (efficiency and effectiveness)
	Policymaking	
	Service delivery	Responsiveness
	Internal and external oversight	Accountability

Understanding the use of AI in Tax Administration



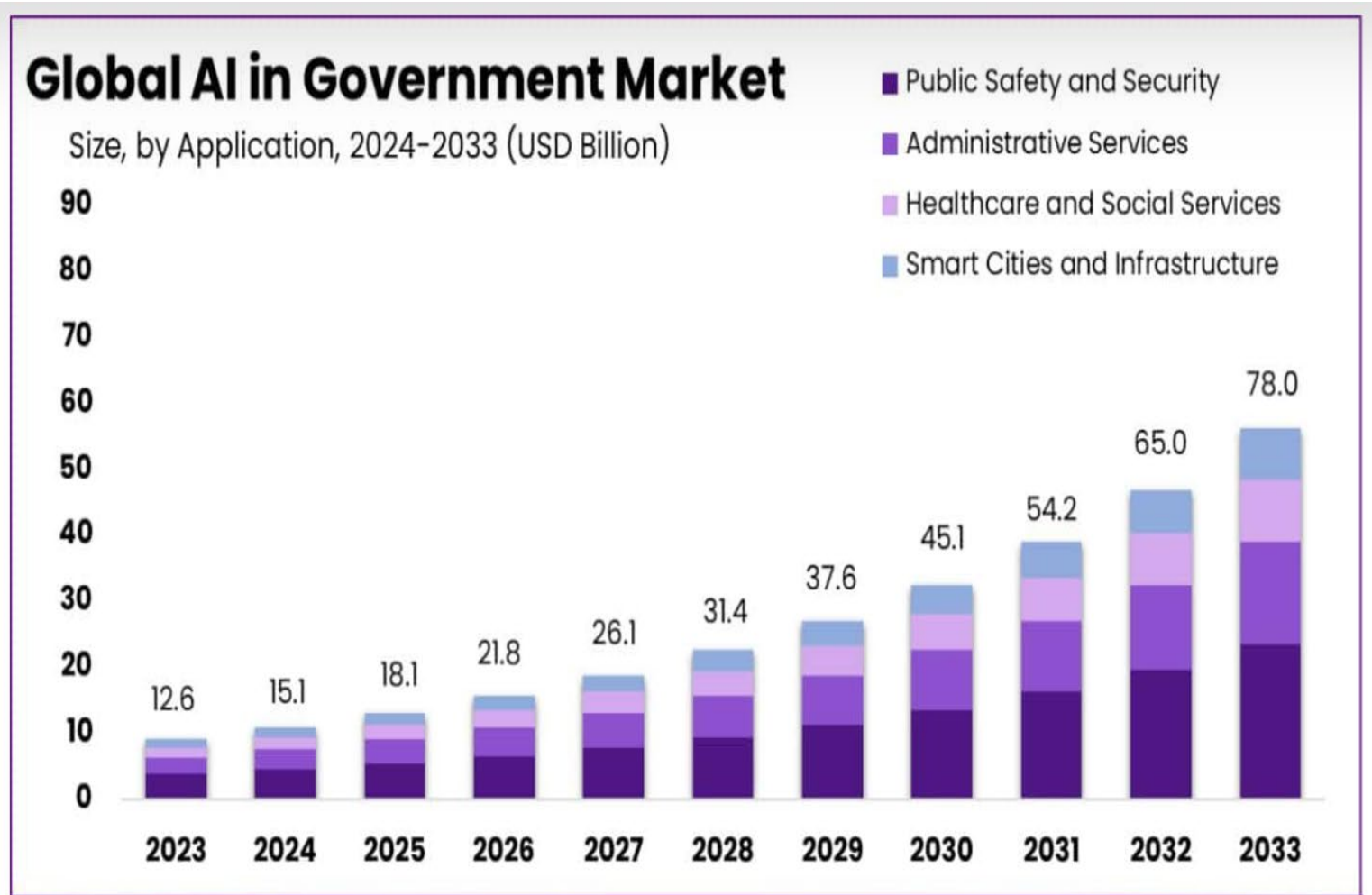
Source: Tax Administration 2025 - Comparative Information on OECD and other Advanced and Emerging Economies

AI deployments across OECD Members who use AI in tax administration



Source: OECD 2025

Global AI in Government



Source: Market US 2025

Identifying Trustworthy AI: some internationally accepted principles

Five core principles:

- Promotes inclusive and sustainable growth
- Human centered and Fair
- Transparent and explainable
- Robust and Secure
- Accountable



How to ensure that the use of AI is trustworthy



Enablers

to facilitate trustworthy adoption, including governance, data, digital infrastructure, skills, financial investments, agile procurement processes and capacities to partner with nongovernmental actors



Guardrails

to guide the use of AI, including rules and policies, guidance and frameworks, transparency and accountability mechanisms that span the AI system lifecycle, and oversight and advisory bodies to guide and evaluate efforts



Engagement

to shape user-centered and responsive approaches, including mechanisms to engage with key stakeholders, including the public, civil society and businesses

02

AI in Tax Administrations

The Compliance Flywheel

LEARN & IMPROVE
Feedback loop + risk signals

SETTLE & PAY SEAMLESSLY
With confirmations and dispute options

GUIDE THE TAXPAYER
Chat/agent advisor: benefits, credits, filing choices

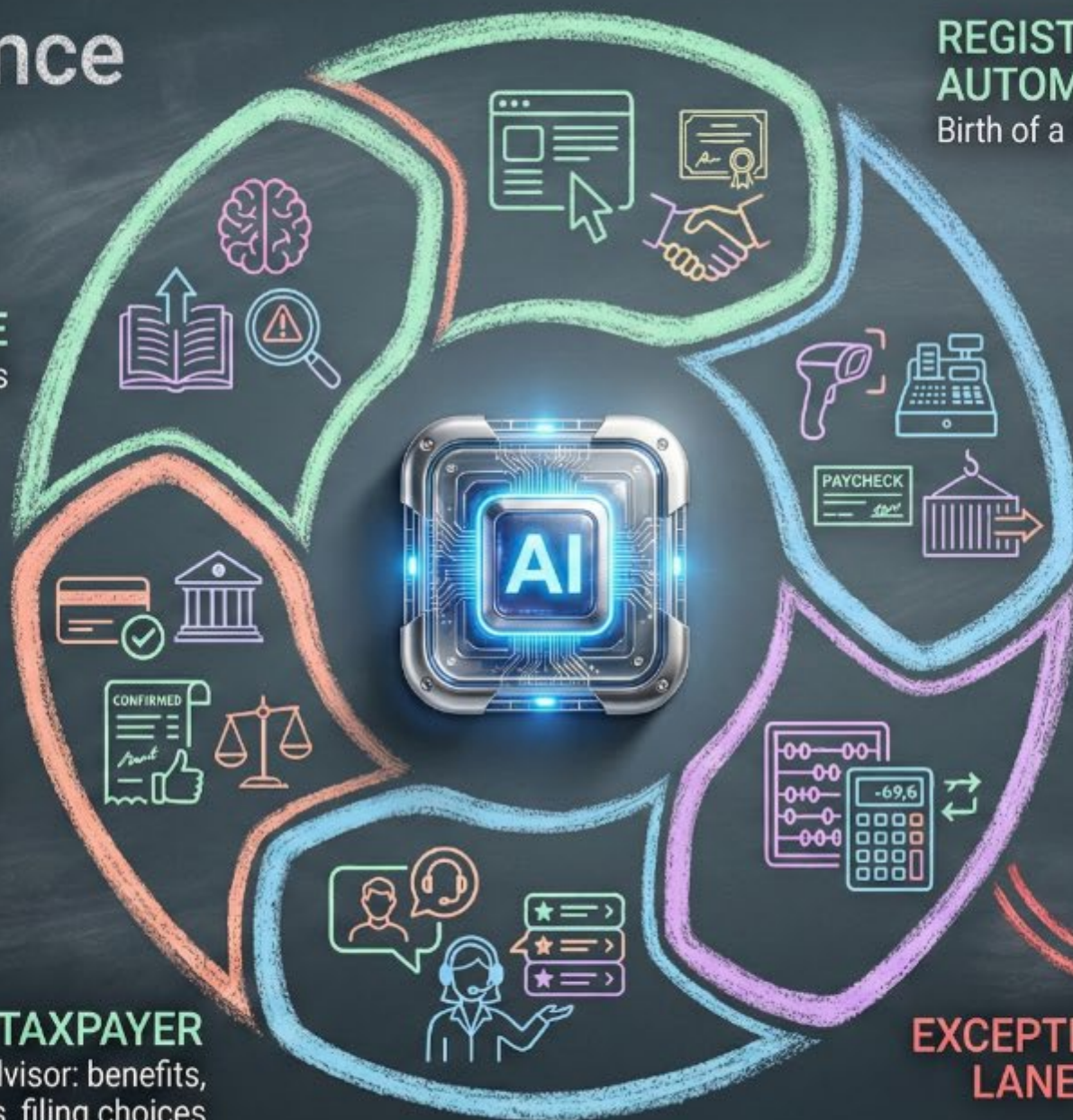
REGISTER & UPDATE AUTOMATICALLY
Birth of a business, address change, VAT status

CAPTURE TRANSACTIONS
E-invoicing, POS, payroll, customs

COMPUTE OBLIGATIONS CONTINUOUSLY
Near-real-time liability estimates

EXCEPTION LANE

HUMAN
Audits, fraud, litigation

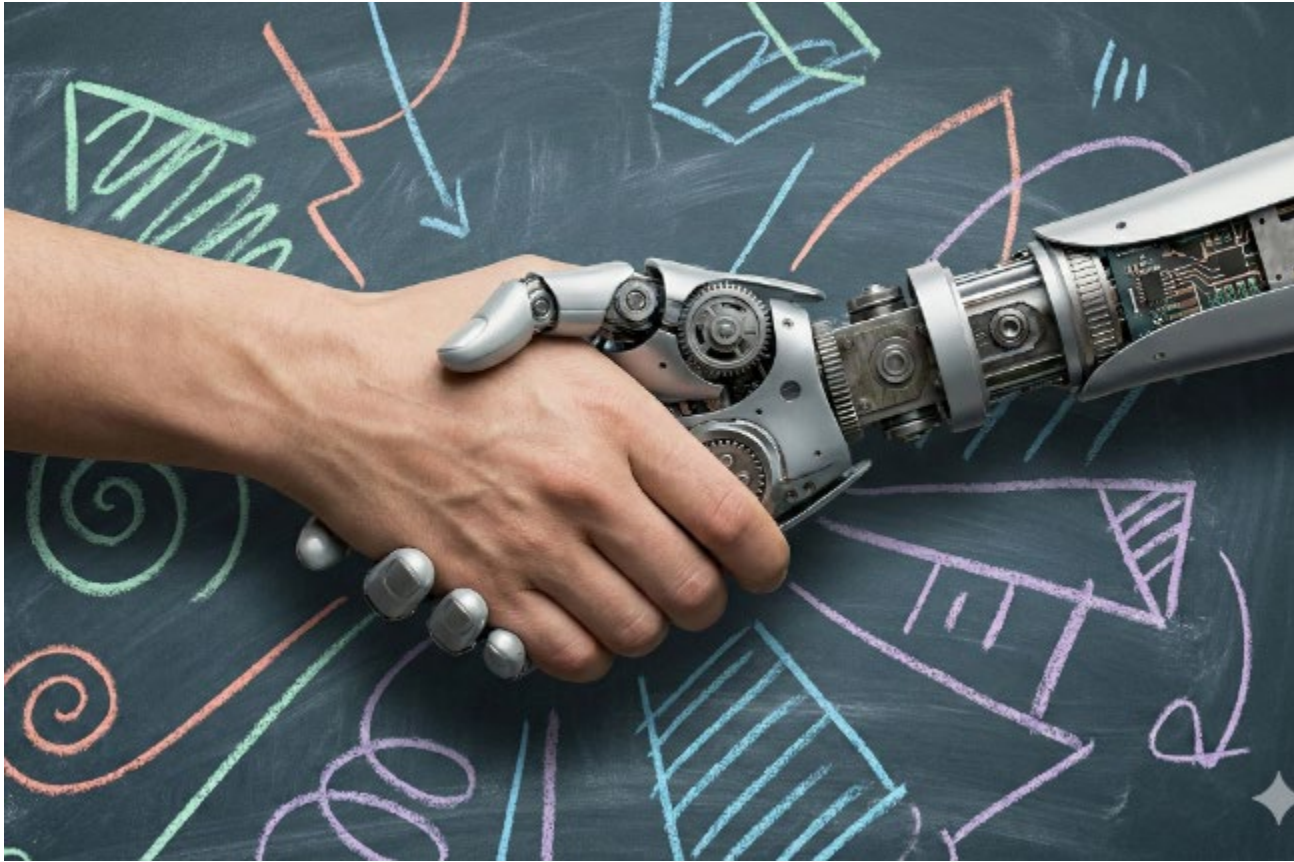


When AI went right: Tax administration in Australia

As of **14 May 2024**, the Australian Tax Office (ATO) had **43 AI models in production** (developed in-house), linked to **93 machine-learning algorithms**. As of **18 June 2024** it had approved **eight publicly available generative AI tools** for ATO use under a “low-risk” approval regime.

- Real-time “nudge messaging” during tax return lodgment
- Virtual Assistant “Alex”
- AI-driven voice biometric authentication
- Multimodal AI to automate document analysis in audit Work-related expenses Audits.
- AI model to generate predictions on the likelihood and consequence of omitted income in the small business market.
- Model to determine understating of amount of total business income their clients reported to the ATO or overstating total deductible expenses which are claimed by the taxpayer.
- AI models to predict the likelihood that property sold was the taxpayer’s main residence and therefore eligible for various legislative exemptions from capital gains tax

Modest gains: AI use in taxpayer service and policy making



Enhanced Taxpayer service

- **Chatbots, Virtual Assistants:** 24/7 service availability able to pull documents, explain issues, and provide guidance on tax matters.
- **Personalized service:** Based on taxpayer history and profile, provide reminders (nudges), and timely information based on taxpayer needs.
- **Collect information for the tax administration:** Provides feedback to the tax administration on taxpayer questions, issues, and can provide guidance to the tax administration on how to improve service and information dissemination.

Policy Analysis

- **Data-driven insights:** AI can analyze large data sets and provide insights to inform tax policy decisions and improve administration strategies.
- **Scenario Modeling:** AI can simulate tax policy scenarios to predict potential impact and feed into decision making

03

Innovative Solutions on DRM Economic Policy and Growth

Showcase of AI Solutions: AISAC, TPA, and RPM



AI System for Audit Case Selection

AISAC is an audit case selection tool that uses LSTM, Temporal Fusion Transformers and Synthetic Data generated with Adversarial Neural Networks.

Citizen/Taxpayer Assistant

TPA is a knowledge management tool that uses advanced LLMs to create a smart assistant that can answer questions based on the collective knowledge of the documents in the public organization, including the law.

Reform Planning and Monitoring Framework

RPM is a next-generation AI enabled diagnostic platform designed to enhance institutional performance, enhance quality and provide actionable intelligent reform roadmaps using advanced LLM tools that automate the building of review frameworks and control the quality of the reviews and provide action plans that are aligned with the maturity level of the organizations.

Thank You!!

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